10. Income Taxes

The components of the provision (benefit) for income taxes are as follows:

	Years Ended December 31,		
	2009	2008	2007
Current provision:			
Federal	$ (24.3)	$ 49.7	$ 21.8
State	2.1	12.2	1.6
Foreign	—	0.5	(0.4)
	$ (22.2)	$ 62.4	$ 23.0
Deferred provision (benefit):			
Federal	7.6	(2.4)	(3.2)
State	(3.4)	(0.7)	(0.5)
	4.2	(3.1)	(3.7)
Total provision (benefit)	$ (18.0)	$ 59.3	$ 19.3

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The components of earnings (loss) from continuing operations before income taxes were as follows:

	Years Ended December 31,		
	2009	2008	2007
United States	$ (53.2)	$ 153.9	$ 57.1
Foreign	(0.5)	(1.2)	(1.2)
Earnings from continuing operations before income taxes	$ (53.7)	$ 152.7	$ 55.9

The provision (benefit) differs from an amount computed at the statutory rates as follows:

	Years Ended December 31,		
	2009	2008	2007
Federal income tax at statutory rates	$ (18.8)	$ 53.4	$ 19.5
State taxes, net of federal income tax benefit	(1.7)	5.9	2.1
Nondeductible expenses and other:			
Valuation allowance	—	—	0.9
Revision of prior years' tax estimates	1.4	(1.4)	(2.6)
Other	1.1	1.4	(0.6)
Total provision (benefit)	$ (18.0)	$ 59.3	$ 19.3

The significant items giving rise to the deferred tax assets (liabilities) are as follows:

	December 31,	
	2009	2008
Deferred tax assets:		
Accounts receivable and inventories	$ 5.2	$ 14.0
Accrued liabilities	7.3	8.6
Tax attributes and carry forwards	20.7	17.1
Property and equipment	6.4	7.0
Other Comprehensive Income	0.8	2.8
Other	9.9	3.3
Total deferred tax assets	50.3	52.8
Deferred tax liabilities:		
Foreign DISC	(0.5)	(0.6)
Property and equipment	(78.3)	(83.4)
Intangible assets	(0.8)	2.5
Deferred Revenue	(3.0)	—
Other	(1.5)	(1.3)
Total deferred tax liabilities	(84.1)	(82.8)
Valuation allowance	(8.6)	(8.6)
Deferred tax assets (liabilities), net	$(42.4)	$(38.6)

FLAG INTERMEDIATE HOLDINGS CORPORATION AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS—(Continued)
(dollars in millions)

As of December 31, 2009, we recorded both federal and state current net deferred tax assets of $14.5, and we recorded both federal and state non-current deferred tax liabilities of $56.9. As of December 31, 2008, we recorded both federal and state current net deferred tax assets of $23.6, and we recorded both federal and state non-current deferred tax liabilities of $62.2

As of December 31, 2009 and 2008, we had net operating loss (“NOL”) carry forwards for U.S. federal income taxes of approximately $20.6 and $20.6, respectively, which begin to expire in 2023. Such NOLs and other tax attributes are subject to the Internal Revenue Code Section 382 related to changes in ownership from our 2002 bankruptcy reorganization and the Merger. The lowest applicable annual limitation is approximately $5.7. The NOL carry forwards are based on returns as currently filed. Our tax returns are subject to periodic audit by the various taxing jurisdictions in which we operate. These audits can result in adjustments to taxes due or adjustments to the NOLs which are available to offset future taxable income.

Effective December 1, 2005, and in conjunction with the Merger, deferred tax liabilities of $61.2 were recorded as a result of purchase price adjustments to property and equipment, as well as intangible assets and inventories. Deferred tax assets of $1.2 were recorded as a result of purchase price adjustments to accrued and other long- term liabilities. As of November 30, 2005, the Predecessor Company had tax assets related to pre-bankruptcy goodwill of $16.5. The tax benefits of goodwill amortization will be available to the Company. Under purchase accounting, we have not recorded a deferred tax asset for the future benefit of tax amortization; however, we will apply the tax benefits first as a reduction to goodwill related to the Merger (to zero), then as a reduction of non-current intangible assets related to the Merger as the benefits are realized. In the periods December 31, 2009 and 2008, goodwill was reduced by $2.1 and $1.8, respectively, in connection with the recognition of such tax benefits.

SFAS No. 109 “Accounting for Income Taxes,” which was later codified into ASC Topic 740 “Income Taxes,” (“ASC 740”) requires that deferred tax assets be reduced by a valuation allowance, if based on the weight of available evidence, it is more likely than not that some portion or all of the deferred tax assets will not be realized. The valuation allowance is adjusted in the periods that we determine the more likely than not standard will or will not be met. A valuation allowance of $8.6 and $8.6 was recorded at December 31, 2009 and at December 31, 2008, respectively. There was no net change in the valuation allowance at December 31, 2009. The state NOL valuation allowance decreased by $0.1 offset by an additional valuation allowance of $0.1 recognized as a result of an increase in Canadian NOLs that we do not expect to utilize.

Unrecognized Tax Benefits

We adopted the provisions of FASB Interpretation No. 48, "Accounting for Uncertainty in Income Taxes" ("FIN 48"), which is now codified into ASC 740, on January 1, 2007. As a result of the implementation of this accounting pronouncement, we recognized a decrease of $3.1 to the January 1, 2007 balance of retained earnings. As of the date of adoption, our unrecognized tax benefits totaled $10.8. The total amount of unrecognized tax benefits that, if recognized, would impact the effective tax rate was $3.2 at the date of adoption. As of December 31, 2009 and December 31, 2008, our unrecognized tax benefits totaled $8.8 and $7.1 respectively, and based on the contingent and uncertain nature of our liability, we are unable to make an estimate of the period of potential cash settlement, if any, with respective taxing authorities.

We file numerous consolidated and separate income tax returns in the United States and various foreign jurisdictions. We are no longer subject to U.S. Federal income tax examinations for years before 2002 and are no longer subject to state and local, or foreign income tax examinations for years before 2000.

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A reconciliation of the opening and ending balances of the consolidated liability for unrecognized income tax benefits for the years ended December 31, 2009 and 2008 are as follows:

	Year Ended December 31,	
	2009	2008
Balance at beginning of period	$ 8.5	$ 7.4
Gross increases due to tax positions in prior periods	0.1	1.7
Gross decreases due to tax positions in prior periods	(0.7)	(0.7)
Gross increases due to tax positions in current period	1.9	1.2
Gross decreases due to tax positions in current period	(0.1)	—
Gross increases due to balance sheet reclassifications	1.2	—
Decreases due to lapses of statutes of limitations	—	(1.1)
Balance at end of period	$10.9	$ 8.5

At December 31, 2009, unrecognized tax benefits affected the Company's effective income tax rate by $1.2. The liability for uncertain tax benefits was further increased by $1.2 offset with an increase to deferred tax assets to properly report the gross liability for the period ended December 31, 2009. Such reclassification did not materially affect the Company's financial condition. At December 31, 2008, unrecognized tax benefits affected the Company's effective income tax rate and goodwill (of the Predecessor Company) by $2.3 and ($1.6), respectively. The Company accounts for any applicable interest and penalties on uncertain tax positions as a component of income tax expense. The liability for uncertain income taxes as of December 31, 2009 and December 31, 2008 includes interest and penalties of $2.1 and $1.4, respectively. Goodwill (of the Predecessor Company) for the period ended December 31, 2008 included a decrease in interest and penalties associated with uncertain tax positions of $0.6.

Unrecognized benefits were decreased by $0.7 for a change in facts on a position taken in prior years.